A rounding bottom marks the imbalance between buying demand and selling pressure. Through the first part of the rounded turn, sellers have the upper hand when they drive price lower. Eventually, the bullish and bearish forces come into balance and the stock bottoms and moves horizontally. Later still, buying demand picks up and the stock inches upward. The climb is not always a smooth one. Sometimes, buying demand sends the stock skyrocketing, but in a month or so price heads back down and planes out slightly above where it left off. Then the stock resumes its climb. When the stock reaches the old high, selling pressure usually drives price lower, forming a handle. Price recovers, breaks through the old high, and sends the stock upward.

Identification Guidelines

As chart patterns go, rounding bottoms are easy to identify. **Table 55.1** lists guidelines for their identification.

Appearance. The best looking patterns appear like bowls or saucers, a gently rounded and concave turn. In reality, though, the bottom is often irregularly shaped. The weekly scale tends to show rounded turns better than the daily charts. You might want to switch your chart to the arithmetic scale (from a log scale) and see if that makes a rounded turn appear. On the log scale, some rounded turns might look V-shaped.

Scale. Since rounding bottoms are often quite long (in this study, the longest is 4 1/2 years), I usually use the weekly scale to make identification easy. However, and this is an important point, the statistics in this chapter use daily price data even though the pattern may be years long. That's because I wanted to compare performance of these patterns with other chart pattern types on the same scale.